CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EC149C3F6
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Kayne Coulter <kayne.coulter@enron.com>
Sent: Tue, 9 Jan 2001 08:45:00 -0800 (PST)
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Subject: Selling to ENRON

---------- Forwarded by Kayne Coulter/HOU/ECT on 01/09/2001 04:48 PM ----------

mbjohns@duke-energy.com on 01/09/2001 03:59:14 PM
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Subject: Selling to ENRON

Yesterday afternoon (1/8/01) during a conference call with ENRON, there was a discussion regarding issues associated with hourly sales to ENRON in order to define expectations associated with these hourly sales. Below is a summary of the expectations and conclusions reached.

Non-Firm Energy Sales:
Duke Power regards a verbal commitment to sell non-firm hourly energy to a customer as an agreement for Duke to sell/deliver energy to the designated delivery point and the customer, ENRON, to purchase/receive this energy at the designated delivery point with ENRON taking the risk of obtaining transmission paths beyond the designated delivery point and completing required tags correctly. After a non-firm energy schedule has begun and a new official TLR event occurs which results in curtailing the schedule, Duke considers this a Force Majuere event and ENRON will only be billed for the energy delivered.

Take or Pay Energy Sales:
Duke Power regards a verbal commitment to sell Take or Pay energy to a

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customer as an agreement for the customer, ENRON, to purchase this energy at the designated delivery point with ENRON taking all risks and accepting to purchase all energy scheduled.

ENRON expressed the desire to develop a strong relationship with Duke built on conducting business "the right way". The ENRON Real-time Desk Management is committed to this desire and are our contacts for future problems and concerns.
Kayne Coulter, Mgr., Real-Time Desk 1-713-853-4340
Juan Hernandez, Supervisor, Real-Time Desk 1-713-853-0383